COURSE

Junior Cycle Business Studies (NCCA)

Marketing mix: promotion

Strand 2: Enterprise · 2.8 The marketing mix: promotion

Revision for Strand 2: Enterprise: each firm works it out on its own deals, in euros.

Class **Junior Cycle Business Studies** Topic **Marketing mix: promotion**

THE LESSON

Setup	2 min

Round 1 — Decisions 3 min · Deals 5 min · Topic tasks 4 min

Firm decisions	**Deals**	TASK 1 **Profit from the ad**	TASK 2 **Was the ad worth it**

Round 2 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

Firm decisions	**Deals**	TASK 3 **Rank cost per sale**	TASK 4 **More profitable ad**	**B2B deal**

Round 3 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

Firm decisions	**Deals**	TASK 5 **TV or trade paper**	TASK 6 **Which advert pays**	**B2B deal**

Final questions	3 min

45-minute setting shown. The 30-minute setting has one topic task per round (Tasks 3, 5 and 6) and one B2B deal. 60 and 75 add more deals.

Each step

Firm decisions	Each role makes its decision on its own page.
Deals	Each pupil trades with a classmate in another firm.
Topic task	The firm answers together. Everyone presses Agree.
B2B deal	One firm sells a lot of cars to another firm.
Final questions	Each pupil answers six questions.

Firm decisions

CEO	**Staff**	Hire staff. Each costs a salary and gives one benefit.
	Sabotage FROM ROUND 2	Hit a rival firm's cash, at a cost. A Legal Counsel blocks it.
Sales & Marketing	**Marketing**	Book one advert campaign to lift the next sales.
Finance	**Capital & Loans**	Borrow cash. The firm pays it back with interest.
	Investments	Buy property or funds. The value can rise or fall.
Operations	**Buying**	Hire the Procurement Specialist or the Stock Controller for the round.

B2B deal · Rounds 2 and 3

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

Topic tasks

Each firm gets its own figures. The method is the same for every firm.

Task 1

ROUND 1

An advert for these cars.

Profit from the advert? Minus allowed.

WORK OUT THE NUMBER · EXAMPLE FIGURES

The advert costs	**€1,500**
Extra sales from it	**5 cars**
Margin per car	**€1,400**

METHOD

Profit = extra sales × margin per car − advert cost

5 × €1,400 − €1,500 = €5,500

Why: 5 extra cars bring €7,000 for a €1,500 advert.

Task 2

ROUND 1

You ran a local radio advert last month.

Which two show it was worth the cost?

PICK TWO

- ✔ **Extra profit above its cost**
- ○ It cost less than last year's
- ○ More people heard it
- ✔ **Sales it brought from new buyers**
- ○ The advert won an award

Why: An advert pays when its extra sales earn more than it cost.

Task 3

ROUND 2

Three adverts: what each cost, and the sales it brought.

Order by cost per sale, cheapest first?

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **Social: €800, 8 sales**
2. **Paper: €600, 4 sales**
3. **Radio: €1,500, 6 sales**

Why: Cost ÷ sales: €100, €150, €250. The cheapest advert is not the best value.

Task 4

ROUND 2

Pick one of two adverts.

Profit from the more profitable advert?

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

Radio advert, 4 extra cars	**€3,000**
Social advert, 5 extra cars	**€1,500**
Margin per car	**€1,900**

METHOD

Each advert: extra cars × margin – its cost; take the higher

Radio €4,600, social €8,000: €8,000

Why: The cheaper advert is not always the better one.

Task 5

ROUND 3

A TV advert reaches 50,000 people for €2,000. A trade paper reaches 5,000 local car buyers for €800.

Which advert should you pick, and why?

PICK A OR B AND GIVE A REASON

- ✔ **The trade paper**
- ○ The TV advert

Why: The paper reaches the people who buy from you, at less cost.

Task 6

ROUND 3

Pick one of two adverts.

Profit from the more profitable advert?

WORK OUT THE NUMBER · EXAMPLE FIGURES

Radio advert, 24 enquiries	**€1,250**
Social advert, 20 enquiries	**€2,250**
Enquiries that buy	**NaN el**
Margin per car	**€1,800**

METHOD

Each advert: enquiries that buy × margin – its cost; take the higher

Radio 6 × €1,800 − €1,250 = €9,550; social €6,750

Why: Enquiries are not sales: count the cars that sell.

Final questions

6	50	10
questions for each pupil	questions in the Irish set	of them on marketing mix: promotion

The game draws 6 questions from the lesson topic "Promotion and campaigns"; these 10 are about marketing mix: promotion.

1 Paid search costs €2,500 and adds 20% to your next 2 sales, up to €2,000 each. A customer pays €9,000. What does the campaign add to that sale?

€1,800

2 Paid search adds 20% to the next 2 sales, up to €2,000 each. Your two sales are €12,000 and €7,000. What is the total bonus?

€3,400

3 Social video costs €2,000 and adds 15% to the next 2 sales, up to €1,500 each. Your sales are €8,000 and €6,000. Did the campaign pay for itself?

Yes: bonuses of €1,200 and €900 make €2,100, €100 more than the cost.

4 You book Local radio (+15% on the next 3 sales) but sell nothing this round. What does your firm get from the campaign?

Nothing: the bonus is paid on sales, and the cost is already spent.

5 Which statement about the three campaigns is right?

A campaign raises what your next sales pay, up to a cap per sale; it does not bring extra customers by itself.

6 You expect two sales of about €5,000 each this round. Paid search: €2,500, +20% on 2 sales, cap €2,000. Social video: €2,000, +15% on 2 sales, cap €1,500. Which leaves more after its cost?

Neither pays: Paid search earns €2,000 for €2,500, Social video €1,500 for €2,000.

7 Your campaign's two bonus sales are used up and the round has five minutes left. What should the Sales & Marketing Director do about marketing?

Nothing more this round: a second campaign is a new cost, and only one runs a round.

Final questions

8 Local radio cost €3,000 and added €600, €450 and €750 to three sales. What did the campaign do to the firm's profit?

It lowered profit by €1,200: €1,800 earned against €3,000 spent.

9 Paid search costs €2,500 and adds 20% to two sales. Roughly what must the two sales add up to for the campaign to break even?

€12,500

10 Local radio costs €3,000, +15% on the next 3 sales, cap €1,500 each. Your sales are €11,000, €9,000 and €4,000. What is the bonus, and the profit on the campaign?

Bonus €3,450; profit €450